Question No: -

السلام علیکم اللہ ورحمتہ وبرکاتہ

اللہ" وَتُعِزُّ مَن تَشَاءُ وَتُذِلُّ مَن تَشَاءُ

اللہ "جسے چاہے عزت دے اور جسے چاہے ذلیل کرے"

JUST PRAY FOR ME

REGARD : RIZWAN MANZOOR



Mgt-101 Important Mcq's For Final Term

Solve By Vu_Toper RM

What's app 03224021365

Paid Tasks = LMS Handling + Online Classes + Project

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account ► Rs. 3,600

► **Rs. 4,000**

correct ►

Rs. 1,600 ►

Rs. 2, 400

Explanation:

40,000 x 10%= 4000 NOTE: 1600 are already declared as ACTUAL BAD DEBTS.

only DOUBTFUL debts are required

If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what will be the rate of depreciation?

10%

22%

4

2

%

5

2

%

Rate = 1 – n√ RV / C Where:

"RV" = Residual Value

Question No: -

"C" = Cost "n" =

Life of Asset

Calculate the rate if:

Cost = 100,000

Residual Value (RV) = 20,000

Life = 3 years

Rate = 1 – 3 √20000/100000

= 42%

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89, 700

► Rs.94, 700

► Rs.95, 300

► Rs.100, 300

profit 95000

less capital interest 2500 add drawing interest 2800 95300

Question No: 27 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.42,350

► **Rs.44,150**

► Rs.41,600

► Rs.40,850

Profit = 85000 Add markup on drawings = 1500 + 1800 = 3300 Total net profit = 88300 Profit share of B = 88300/2 = 44150

Question No: -

Question No: 28 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B? ► Rs.40,000

► **Rs.43,000**

► Rs.130,000

► Rs.133,000

Total Profit of the firm = 85 000 + 3000 - 2000 = 43000

Net Profit = 85000 Add markup on Drawings = 3000 Less markup on Capital =

86000 Profit of B = 86000 / 2 =

Question No: 23 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

► Fixed asset

► Current asset

► **Contra asset**

► Liability

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

► It is helpful for decision making by management

► **It is used for reporting the net profit of the period**

► It can be used for estimations for cash flows in future

► It is used to determine the liquidity of the business

Question No: -

Question No: 30 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► **Cash equivalents**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an example of cash outflow for a company?

- ► Cash collected from customers
- ► **Cash paid for merchandise inventory**
- ► Writing off an uncollectible accounts receivable
- ► Reclassifying accounts payable to notes payable

Question No: 10 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- ► **Individual Partner's Current Account**
- ► Partner's Cash Account
- ► Partner's Bank Account
- ► Partners Capital Account

Question No: 42 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

- ► **Cost of goods sold**
- ► Indirect cost
- ► Selling cost
- ► Factory over head cost

Question No: -

Question No: 41 (Marks: 1) - Please choose one

XYZ Company has paid up capital of 20,000 shares of Rs. 100 each. The company offers to existing shareholders the right to buy 3 shares of Rs. 100 each at Rs. 125 for every 5 shares held. What would be the number of right shares? ► 120 right shares ► **12,000 right shares**

► 15,000 right shares
► 25,000 right shares

Total shares = 20000 5 existing shares can buy = 3 new shares 1 existing share can buy = 3/5 new shares 20000 existing shares can buy = 20000 * 3/5 = 12000 new shares = right shares

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an example of Cash flow from operating activities?
► Cash payment to acquired fixed assets
► Issuing stock
► Cash collection as a result of machinery sold
► **Cash payment to suppliers for goods and services**

Question No: 9 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?
► Accounts receivable arises when a company buys goods or services from another party on credit

► **Accounts receivable is a miscellaneous category that may include loans to employees**

► Accounts receivable are more formal than notes receivable
► Accounts receivable are often called trade receivables

Question No: 11 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?
► **The payments for purchases made during the year**
► A decrease in trade debtors over the course of an accounting period

Question No: -

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 13 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period? ► **Net loss of Rs.1, 000**

► Net income of Rs. 1,000
► Net loss of Rs. 2,000
► Net income of Rs. 2,500

Question No: 35 (Marks: 1) - Please choose one

Which one of the following cost is **NOT** attributable to the fixed assets?

► Costs of site preparation
► **Administration and other general overhead cost**
► Initial delivery and handling charges
► Installation and assembly costs

Question No: 44 (Marks: 1) - Please choose one

A company is said to have been registered when:

► **It gets certificate of incorporation from registrar of Companies**
► It gets certificate of commencement of business from registrar of Companies
► It actually starts its business
► It filed with the Registrar of Companies certain documents, like memorandum and articles of association

Question No: 10 (Marks: 1) - Please choose one

Notes to the accounts explain which of the followings
Nature of business of the company
Accounting Policies of the company
Details and explanation of items given in the Profit and Loss Account and Balance Sheet
All of the given options

Question No: 6 (Marks: 1) - Please choose one Cash flow from operating activities is generated from:

.

Question No: -

The cash receipts and payments that arise from Fixed and Long Term assets

---

of the organization. .

Cash generated from daily operations of organization

The cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization

None of the given options

Question No: 47 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50,000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000

What is debt equity ratio ?

15: 20 (or 3:4)

15:24 (or 5: 8) 15:29

15:35 (or 3: 7)

Total Debt = Debentures = 150000 Total Equity = Equity capital + General Reserve + Accumulated profit = 200000 + 90000 + 60000 = 350000

Debt: Equity 150000: 350000 15: 35 3:7

Question No: 48 (Marks: 1) - Please choose one In which situation(s) Partnership is dissolved?

In case of death of partner

At the admission of new partner

If any partner resigned from partnership

All of the given options

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► **Physical wear and tear**
- ► All of the given options

Question No: 50 (Marks: 1) - Please choose one

Which one of the following is equal to the carrying cost of an asset?

- ► **Original cost minus Accumulated depreciation**
- ► Original cost plus Accumulated depreciation
- ► Original cost minus Residual value
- ► Written down value minus Accumulated depreciation

Question No: -

\ Question No: 25 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment
► **Purchasing cleaning services**
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 45 (Marks: 1) - Please choose one
The amount of share premium can be utilized EXCEPT**:**

► To write off preliminary expenses

► To meet the expenses of issue of shares

► To distribute among the shareholders
► To issue bonus shares

Question No: 46 (Marks: 1) - Please choose one
A company pays cash to purchase the stock of another company in an unrelated industry. The cash outflow can be considered as an:

► Operating activity that will appear on the statement of cash flows
► Operating activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry

► Investing activity that will appear on the statement of cash flows

► Investing activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry

Question No: 35 (Marks: 1) - Please choose one
Which of the following is TRUE **about capital receipt?**

► It decreases value of property or increases value of liability
► It is shown in the income and expenditure account
► It is recurring in nature
► It is not shown in the statement of financial positions

A private limited company can commence its business:

► Immediately on receiving a certificate of incorporation
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: -

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**
► Shareholders
► Managers
► Directors

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity ► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Identify that which of the following particular(s) would **NOT** be shown in the format of a Cash Book?
(1) Cheque number
(2) Date of transaction
(3) Amount of transaction

► **(1) only**
► (1) & (2) only
► (1) & (3) only
► (2) & (3) only

Question No: 50 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called: ► Expenses

► **Assets**

Question No: -

► **Capital** ► Liabilities**Question No: 45 (Marks: 1) - Please choose one**

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 41 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000
► **Rs. 215,000**
► Rs. 220,000
► Rs. 225,000

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000
► Rs. 8,000
► Rs. 4,500
► **Rs. 10,500**

Question No: -

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 34 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question

No: 35 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Question No: -

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 31 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► Credit purchases
► Discount allowed

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** correct about income tax?

► Different companies pay tax on different rates
► It is treated as an expense and debited in Profit & Loss account
► When financial statements are prepared, an estimate of expected tax liability is made
► It is treated as an expense and credited in Profit & Loss account **Question No: 27 (Marks: 1) - Please choose one**

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► Rs. 5,480

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement
► A retained earnings statement

Question No: -

► **An income statement**

► A balance sheet

Question No: 20 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only

► **Balance sheet only**

► Owner's equity only

► Both Trading account and Balance sheet

Question No: 11 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors

► The sale of fixed assets during the period

► **An increase in trade debtors over the course of the period**

► An increase in the depreciation charge relative to the previous accounting period

Question No: 54 (Marks: 1) - Please choos

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

► Short operating cycle of the company

► Long operating cycle of the company

► Liquidity is not affected by operating cycle

► It is the creditor’s choice

Question No: 45 (Marks: 1) - Please choose one

The amount of prepaid insurance that expired in the current accounting period should be reported as _____. ► Prepaid insurance

► Insurance expense

► Insurance payable

► Insurance paid

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad

Question No: -

debts expense,

- ► Net realizable value is understated
- ► Expenses are understated
- ► Revenues are understated
- ► Receivables are understated

Which of the following is not a cause of difference in balances as per pass book and cash book?

- ► Error in cash book
- ► Error in pass book
- ► Direct deposit
- ► Un credited cheques

Question No: 31 (Marks: 1) - Please choose one

Particulars	
Nominal value of each share	Rs.10
No of shares issued	10,000 shares
Net profit	Rs. 20,000
Divined paid	10%
What is the EPS	?

- ► Rs. 1.00
- ► Rs. 2.00
- ► Rs. 3.00
- ► Rs. 4.00

Question No: 28 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

- ► None of the given options
- ► General reserve
- ► Accumulated profit and loss (credit balance)
- ► Revaluation reserves

Question No: 10 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

- ► To calculate true profit

Question No: -

► To show the asset on market value

► To reduce tax Burdon
► To provide funds for replacement

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► Receipts & Payments account
► Balance Sheet

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000
► Rs.28,000
► **Rs.33,000**
► Some other amount

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It gets certificate of incorporation from registrar of Companies
► It gets certificate of commencement of business from registrar of Companies
► It actually starts its business
► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► **Cost of good sold**
► Indirect cost
► Selling cost
► Factory over head cost

Question No: -

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 23 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

► Par value
► Face value
► Nominal value
► All of the given options

Question No: 54 (Marks: 1) - Please choose one

Which of the following is one of the major factors affecting the market value of a company's shares?

► Current ratio
► Earning per share
► Return on investment
► Return on asset

Question No: 47 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

► Realized
► Earned
► Incurred
► Paid

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total

Question No: -

share of Mr. B?

► Rs.52,500

► Rs.42,500

► Rs.41,500

► Rs.50,500

Question No: 47 (Marks: 1) - Please choose one

Adjusting costs are reported as:

► Revenues

► Expenses

► Assets

► Net Income

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also affected when an adjusting entry is passed to accrue an incurred expense?

► Total assets

► Total liabilities

► Current assets

► Total income

Question No: 36 (Marks: 1) - Please choose one

The statement of changes in equity basically shows the movement of:

► share capital during the year

► Capital reserves during the year

Question No: -

► Revenue Reserves during the year

► All of the given options

Question No: 54 (Marks: 1) - Please choose one
In statement of cash flows, interest payment made on loan from bank is related to:

► Investing activity
► Financing activity
► Operating activity
► Net changes in working capital

Question No: 52 (Marks: 1) - Please choose one
Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

► Balance Sheet
► Income Statement
► Statement of cash flows
► Statement of changes in equity

Question No: 32 (Marks: 1) - Please choose one
The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► None of the given options

Question No: 27 (Marks: 1) - Please choose one
Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► a,b
► b,c
► a,c
► a,b,c

Question No: 52 (Marks: 1) - Please choose one
According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► Capital invested by the owners

► Purchase of building for the business use
► Cash received from the disposal of equipment

Question No: 46 (Marks: 1) - Please choose one

Question No: -

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700

► **Rs.95,300**

► Rs.100,300

Question No: 44 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► Rs.52,500
► Rs.42,500

► **Rs.43,500**

► Rs.50,500

Question No: 26 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 3 (Marks: 1) - Please choose one

According to the double entry system of accounting, an account that obtains benefit is: ► Debit

Credit
► Income
► No need to show as accounting record

Question No: 54 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business? Control Account

Subsidiary Ledger

Balance Sheet

Question No: -

Trial Balance Question No: 43 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this? Not paying invoices received from creditors The sale of fixed assets during the period

An increase in trade debtors over the course of the period

An increase in the depreciation charge relative to the previous accounting Period

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► Current Assets ► Current Liability

► **Long-term liability**

► **Share of profit**

Question No: 3 (Marks: 1) - Please choose one Which of the following ratio tells about "How a company would repays its loans"

► **Mark up cover ratio**

► Acid test ratio

► Current ratio

► Debt Equity ratio

Question No: 54 (Marks: 1) - Please choose one

Which of the following is NOT based on the concept of double entry book keeping system?

► Subsidiary Ledgers

► Creditors Control Accounts

► Debtors Control Accounts

► All of the given options

Question No: -

Question No: 44 (Marks: 1) - Please choose one

Deferred cost is classified as:

► Current liability
► Current asset
► Non-current asset
► Non-current liability

A deferred cost can be a liability or expenditure not recorded as a cost of operation for the period in which it was incurred, but to be written off on a later date. Deferred costs can also be prescribed to assets that cannot be reliably recognized as such, but need to be deferred to be matched with future income in order to avoid a distorted net income.

Question No: 4 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

► Operating activities
► **Financing activities**
► Investing activities
► None of the given options

Question No: 44 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as investing activity
► **Rs. 30,000 cash outflow as investing activity**
► Rs. 10,000 cash inflow as investing activity
► Rs. 70,000 cash inflow as investing activity

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus

Question No: -

► It may treated as a revenue

► **None of the given options**

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets
► Long-term deposit

► Financial charges paid
► Dividend paid

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus
► It may treated as a revenue
► **None of the given options**

Question No: 47 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22, 500
► Rs.25, 500
► Rs.27, 500
► Rs.55, 000

Question No: -

Question No: 40 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan
► Dividend issue in the current year
► **Money received as result of selling fixed assets**
► The difference between the valuations of old and new fixed assets

Question No: 54 (Marks: 1) - Please choose one Which of the following ratio cannot be computed for a period in which the company incurs a net loss? ► Acid-test ratio doubted

► Return on investment ► Price-earning ratio ► None of the given options

Question No: 45 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

► **Revenue Expenditures**
► Capital Expenditures
► Deferred Expenditures

► None of the given options

Question No: 38 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

► Provision
► **Current liability**

Question No: -

► Reserves and surplus

► Current assets

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

► Receivables
► Receipts from Capital
► Current and intangible assets
► **Cash equivalents**

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit? ► Rs.81,700

► **Rs.88,300**
► Rs.131,700
► Rs.146,700

Question No: 36 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?
Contributed Capital
Retained Purchases returns account and sales account
Sales account, purchase account and A s account
Both of Mr. P's & Mr.Q's Account

Expired portion of direct cost is a part of _____.
Cost of sales

Control accounts are maintained for all of the following EXCEPT
Depreciation

Question No: -

Service fee received is a _____.

Revenue Expenditure

Cotton thread to make the fabric in manufacturing concern is

Raw material

Control accounts are maintained for all of the following EXCEPT

Depreciation

Mostly, control accounts are maintained for

All options

Which of the following is an error of principle?

A receipt of Rs. 50,000 from a debtor is recorded as Rs 5,000 in his account

A payables ledger control account had a closing balance of Rs.
9,000. A discount received of Rs. 500 had been omitted to record
in this control account. What should be the correct balance of payables control account?

Rs. 8,500 credit

Expired portion of direct cost is treated as

Cost
Not realizable value of inventory =

Selling price – further costs to sell

Which of the following should be debited for issue of raw material to production department in manufacturing concern?

Finished goods account

Under periodic system of recording inventory purchase of inventory is recognized as _____

Stock

Purchase of building costing Rs 500,000 is recorded in repairs account. What will be its effect on net profit?

No effect

Which of the following should be debited on sale of completed goods on cash basis in manufacturing concern?
Cash account

Question No: -

If some financial information is completely forgotten to record in the books of original entry. Such error is known as

Error of omission

Which of the following should be credit on sale of completed goods on credit basis in manufacturing concern?

Sales Account

Cost of inventory

Selling Further costs to sell

Shipping supplies consumed is considered as?

Selling expense

Expired portion of direct cost is treated as

Expense

Discount received from a creditor is credited under main head:

Income

Accumulated depreciation of furniture is a/an

Contra asset account

If Work in Process closing inventory is provided in trial balance, then that in inventory is treated in:

Balance Sheet only

Factory overhead is a/an.

Cost

Purchases Rs.500, Carriage outward Rs.50, Gross Sales Rs. 700 and Gross

Profit Rs. 100. Net Purchases =?

Rs. 50

Carriage inward is debited under main head:

Expenses

Capital introduced by the owner is a

Capital Receipt

Factory overhead cost = Power & fuel cost +

Indirect material cost

Consumed direct supplies are considered as:
Cost of sales

All of the following items may appear in Trade payable control account EXCEPT: **Bad debts**

Question No: -

When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head, it is known as:

Error of principle

The unexpired portion of direct cost is treated as: **Assets**

A control account is an individual account that appears in the. **General ledger**

Mr. X receives a discount of Rs. 50 from a supplier.
The discount is debited
To discount allowed account. What will be its effect on net profit?

Understated by Rs. 100

A creditors' control account is used to record all the transactions related to: **Credit purchases**

While preparing a Debtors Control Account, Credit side posted items cause:

Decrease in debtors' balance

Which of the following is a Revenue receipt?

. Sales revenue

Direct cost is also known as: **Prime cost**

A minor repair to a photocopy machine was paid in cash. Correct entry Was made to cash account but no entry was made to other account. What will be the debit effect of journal entry to rectify this error, if there is suspense account in trial balance? **Photocopy machine repair account**

A new accountant of ABC Corporation has prepared the trial balance. But
There is difference in total of both sides of trial balance: such difference Can be due to:
All of the given options

Mostly, control accounts are maintained for:
All of the given options

When correct accounting effect (Dr/Cr) is given in the wrong accounting
Head but the main head remains correct, is known as: **Error of commission**

If the debit side of trial balance is heavier than the credit side, suspense

Account will be written on

Credit side

Purchases Rs.500, Return inward Rs.50, Gross Sales Rs. 700 and Gross Profit Rs . 100. Net Purchases =?

Rs.500

All of the following items appear on credit side of Trade receivable Control account EXCEPT

Cheques dishonored

Question No: -

Purchase return account is a/an

Contra item

Which of the following Organization converts raw material into finished Goods?

Manufacturing concern

If the credit side of trial balance is heavier than the debit side, suspense Account will be written on
Debit side

Carriage outward is debited under main head:
Expenses

In a manufacturing concern, rent of office building is included in **Operating expense**

Income=? **Profit – expenses**

A payables ledger control account had a closing balance of Rs 9,000. A Credit purchase of Rs. 500 had been omitted to record in this control Account. What should be the correct balance of payables control account?

Rs. 9,500 credit

All of the following items may appear in Trade payable control account EXCEPT:

Cash purchases

Which of the following is an error of principle?

Purchases of vehicle is recorded in repairs account

When correct accounting entry is recorded in the books of accounts but The amount in both according effect (Dr & Cr) is wrong, it is known as:

Error of original entry

Total factory cost = Prime cost +

Factory overhead cost

Unconsumed shipping supplies are considered

Current asset

Leather to make jackets in manufacturing concern is : **Raw material**

Question No: -

Which of the following is/are the function of financial accounting?

All of the given options.

Work in process closing inventory is a/an:

Asset

A payables ledger control account had a closing balance of Rs 9,000. A credit sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account? **Rs. 9,000**

Note (33 & 42 credit purchases = (payable control account) and **credit sales = (receivables control account).**

A debtors' control account is used to record all the transactions related **Credit sales**

Discount allowed to a debtor is Debited under main head: **Expenses**

A receivables ledger control account had a closing balance of Rs. 9,000. A dishonored cheque of Rs. 500 had been omitted to record in the control account. What should be the correct balance of receivables control account?

Rs. 9,500 debit

Unconsumed direct supplies are considered as:
Inventory

Unfinished goods are called.
Work in process

Salaries expense of Rs. 5,000 is recorded as Rs. 500. What will be its effect on net profit?
Overstated by Rs. 4,500

All of the following items may appear in Trade receivable control EXCEPT

Credit Purchases

Expenditure incurred to acquire the patent right for the business is an example of:

Capital expenditure

Loss on revaluation of fixed asset should be charged to:

Profit and loss account

While preparing a Debtors Control Acco unt, Debit side posted items cause:

Increase in debtors' balance

Expenses are also known as:

Expired portion of cost

Question No: -

An income statement is prepared for a specific period, which is also known as:

Reporting period

Which of the following is a Capital expenditure?

Purchase of a building

A purchase of plant and machinery is a

Capital Expenditures

Discount allowed to a debtor is credited under main head:

Expenses

Which of the following is Revenue expenditure?

Payment of salaries

In a trading concern, salaries of marketing staff are included in .

Operating expense

Cotton thread to make fabric in manufacturing concern is:

Raw material

Mr. A recorded a cash payment of Rs. 300,000 as salaries. Both the salaries and cash account was debited. What would be the credit affect of journal? entry to rectify this error, if there is suspense account in trial balance?

Remembers in prayers

Question No: -

Cash account

A receivables ledger control account had a closing balance of Rs. 9,000. Cash sales of Rs. 500 had been omitted to record in the control account. What should be the correct balance of receivables control account?

Rs. 9,000 debit

Factory overhead cost = Power & fuel cost +_.

Other indirect cost

A new accountant of ABC Corporation has prepared the trial balance. But
There is difference in total of both sides of trial balance; such amount of difference shall be named as:

Suspense account

In a manufacturing concern, salary of supervisor is included in _____ .

Operating expense

Mr. Y has recorded a stationary expense of Rs. 50 as salaries

Question No: -

---

expense. What

Will be its effect on net profit?

No effect

Control accounts are maintained for all of the following

EXCEPT:

Depreciation

Service fee received is a .

Revenue **Receipt**

Which of the following is a Capital receipt?

Long term loan from bank

Sales Rs. 500, Return inwards Rs. 50, Gross Profit Rs. 100, Net

Sales =?

Rs. 450

Expenses =?

Income – profit

Office supplies consumed is considered as:

Remembers in prayers

Question No: -

Admin expense

Bank charges of RS. 1,000 have been deducted by the bank without our Knowledge. What will be its effect on net profit?

No effect

Wood used to make a table in manufacturing concern is:

Raw material

Sole proprietor can prepare following financial statements as final accounts:

Balance sheet & income statement

Which one of the following is INCORRECT about closing stock? It reduces the resources of business

Prime cost = Direct material cost +_ **Direct labor cost**

Mr. A recorded a cash payment of Rs. 300,000 as salaries. Both the salaries

And cash account was debited. What would be the debit affect of journal entry to rectify this error, if there is suspense account in trial balance?

Suspense account

While preparing a Creditors Control Account, Debit side shows the items that Will cause

Decrease in creditors' balance

Sales return account is a/an **Contra item**

If Work in Process closing inventory is provided as additional information, Other than trial balance, then that inventory treated in: **Profit and loss account** only

Electricity expense is a Revenue Expenditure

Current year's depreciation of furniture is a/an
.

Expense account

Question No: -

Carriage inward should be the part of:

Direct cost

Control accounts are usually maintained by:

Large organizations

Purchase of building costing Rs. 500,000 is recorded in repairs account. What will be? Its effect on net profit?

No effect

Which of the following is an error of original entry?

A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account.

A payables ledger control account had a closing balance of Rs. 9,000. Cash Purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

Rs 500 credit

Drawings account is a/an

Contra item

Expenses =?
Income – profit

All of the following items appear on debit side of Trade receivable control account EXCEPT:

Discount allowed

Mostly, control accounts are maintained for:
All of the given options
Purchases Rs. 500, Returns outward Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?450

If cost of sales is Rs. 90,000, income from sales Rs. 200,000 and operating expenses Rs. 100,000. What will be net result? Select correct option:

Rs. 5,000 Losses

Work in process closing inventory is a/an:
Asset

Question No: -

Which of the following is Revenue expenditure?

Sales revenue

A payment of Rs. 1,000 to a creditor Mr. A is recorded in the account of another creditor Mr. B. What will be its effect on net profit?

Rs. 1,000 Owner's equity.

Which of the following Organization converts raw material into finished goods?

Manufacturing concern

Capital introduced by the owner is a _____.

Capital Receipt

When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong, it is known as:

Error of commission

Which of the following is an error of original entry?

A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

Mr. X receives a discount of Rs. 50 from a supplier. The discount is debited to discount allowed account. What will be its effect on net profit?

Understated by Rs.100

While preparing a Creditors Control Account, Credit side shows the items that will cause:

Raw material
Raw material

Service fee received is a _____.

Revenue Expenditure

Work in process closing inventory is a/an:

Asset.

Factory overhead cost = Power & fuel cost + _____.

Question No: -

Indirect material cost

A payables ledger control account had a closing balance of Rs.9, 000. A discount received of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

Rs. 8,500 credit

Unconsumed shipping supplies are considered as:

Current asset

Unconsumed office supplies are consider as:

Raw martial

Unfinished goods are called: **Raw martial**

If the debit side of trial balance is heavier than the credit side, suspense account will be written pn

Credit side

Accumulated depreciation of furniture is a/an _____

Contra asset account

Which of the following is a Capital receipt?

Long term loan from bank

Discount received from a creditor is Debited under main head:

Assets

While preparing a Debtors Control Account, Debit side posted items cause:

Increase in debtors' balance

An income statement is prepared for a specific period, which is also known as:

Financial health

Question No: -

A minor repair to a photocopy machine was paid in cash. Correct entry was made to cash account but no entry was made to other account. What will be the credit effect of journal entry to rectify this error, if there is suspense account in trial balance?

Cash account

When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head, it is known as:
Error of commission

Mr. A recorded a cash payment of Rs.300, 000 as salaries. Both the salaries and cash account were debited. What would be the credit effect of journal entry to rectify this error, if there is suspense account in trial balance?
Cash account

Purchase of building costing Rs. 500,000 is recorded in repairs account. What will be its effect on net profit?

Overstated by Rs. 500,000

Control accounts are usually maintained by:
Large organizations

All of the following items may appear in Trade receivable control account EXCEPT:

Cash relievable in debit

A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance, such amount of difference shall be named as: **Suspense account**

Bank charges of RS. 1,000 have been deducted by the bank without our knowledge. What will be its effect on net profit?

Understated by Rs. 1,000

Which of the following is an error of omission?

Bank charges being deducted by the bank without our k**nowledge**

If someone financial information is completely forgotten to record in the books of original entry, such error is known as:

ERROR OF OMISSION

In a manufacturing concern, rent of the office building is included in:

Question No: -

OPERATING EXPENSES

Expired portion of direct cost is a part of ---------

Cost of sales

All of the following items may appear in Trade payable account Expect:

Bad debts

Expired portion of direct cost is treated as:

Expense

In a manufacturing concern, rent of the office building is included in:

OPERATING EXPENSES

Income=

Profit-expenses

A payable ledger control account had balance of Rs9000.A credit purchase of Rs500 had been omitted to recorded in the control account what should be the correct balance of payable control account?

Rs.9000credit

All of the following items may appear in Trade payable control account Except:

Cash purchases

When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong. It is known as

Question No: -

Error of original entry.

Total factory cost=prime cost+

factory overhead cost

Mostly, contra accounts are maintained for: trade receivable, trade payable, Inventory,

All of the given option

If the credit side of the trial balance is heavier than the debit side suspense's account will be written on -------

Both debit and credit side

Carriage inward is debited under main head:
EXPENSES

Unconsumed shipping supplies are considered as:

Current Assets

When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct is known as: **Error of commission**

Leather to make in manufacturing concern is:

Raw material

Which of the following is/are the function of financial accounting?

All of the given options

Question No: -

When correct accounting effect (Dr/ Cr) is given in the wrong accounting head as well as the wrong main head, it is known as:

Error of principle

Work in process closing inventory is a/an:

asset

A debtor's account is used to record all the transaction related to:

Credit sales

Purchase Rs500, carriage outward rs.50 gross sales Rs 700 and gross profit Rs 100 net purchase=?

500 RS

Discount allowed to a debtor is debtor under main head:

Expense s

A receivable ledger control account had a closing balance of rs9000.A dishonored cheque of Rs 500had been omitted to record in this control account what should be the correct balance of receivable control account?

9500 debt

Factory overhead is a/an **cost**

Unfinished goods are called: **WORK IN Process**

Salaries expenses of Rs 5000 are recorded as Rs 500 what will be its effect on net profit?

Overstayed by rs4500

All of the following items may appear in trade payable account Expect **Bad debts**

Remembers in prayers

Question No: **-**

Discount received from a creditor is credited under main head: **Income**

Capital introduced by the owner is a **Capital Receipt**.